Labor Market Discrimination

Labour Economics, ECON207 — UG-II, 2026: Semester IV

Ravikiran Naik

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Sections Covered

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9-2	The Discrimination Coefficient
9-3	Employer Discrimination
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What Is Labor Market Discrimination?

- Discrimination occurs when the marketplace takes into account factors such as **race, sex, caste, or appearance** when making economic exchanges.
- These factors are **not related to productivity** — yet they affect hiring, wages, and occupational sorting.
- The central question: how much of the observed wage gap between groups reflects **skill differences** and how much reflects **discrimination**?

Types of Discrimination

Discriminatory Behaviours *(Oxford English Dictionary)*

- **Ableism** — discrimination in favour of able-bodied persons.
- **Ageism** — prejudice or discrimination on the grounds of age, especially against the elderly.
- **Fattism** — prejudice or discrimination against fat people.
- **Heterosexism** — prejudice and antagonism by heterosexual persons toward homosexuals.
- **Lookism** — prejudice or discrimination on the grounds of appearance.
- **Racism** — hatred or intolerance of another race or other races.

- **Sexism** — discrimination or devaluation based on a person's sex, especially directed against women.

Race and Gender in the Labor Market

- Men earn more than women, and whites usually earn more than non-whites — these are **raw wage differentials**.
- Differences in **educational attainment** between whites and non-whites account for a **portion** of the wage differential — but not all of it.
- After controlling for education, experience, occupation, and region, a **residual gap** remains — this residual is often attributed to discrimination.
- The key empirical challenge is **decomposing** the raw gap into an **explained** portion (skills) and an **unexplained** portion (discrimination).

What Is the Discrimination Coefficient?

- **Gary Becker (1957)** formalised the notion of **taste-based discrimination** — racial prejudice translated into economic behaviour.
- A prejudiced employer perceives the cost of hiring a Black worker as **higher than the true cost**.
- Even though it costs w_B dollars to hire one person-hour of Black labour, the employer acts as if it costs $w_B(1+d)$, where $d > 0$ is the **discrimination coefficient**.
- A larger d means **more prejudice**: the employer requires a bigger wage discount before willingly hiring Black workers.

How Does a Non-Discriminating Firm Hire?

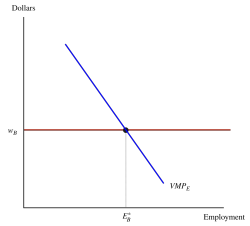


Figure 9-1: The Hiring Decision of a Firm That Does Not Discriminate

How Does a Prejudiced Firm Hire?

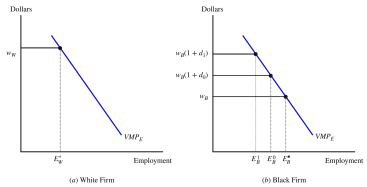


Figure 9-2: The Hiring Decision of a Prejudiced Firm

Employer Discrimination: Key Implications

- If Black and white workers are **perfect substitutes**, the Becker model predicts **segregated workforces**: each firm hires only one race.
- Even **non-discriminating employers** end up with a segregated (all-Black) workforce — they hire the cheaper, equally productive group.
- **Discrimination does not pay**: prejudiced employers hire the wrong type of worker and/or the wrong number of workers — reducing their **profits**.
- In **competitive markets**, discriminating firms earn lower profits and should eventually be **driven out** by non-discriminating competitors.

Profits and Discrimination

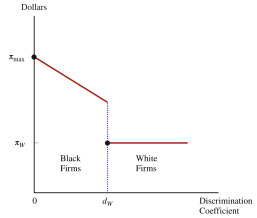


Figure 9-3: Profits and the Discrimination Coefficient

Determination of the Relative Minority Wage

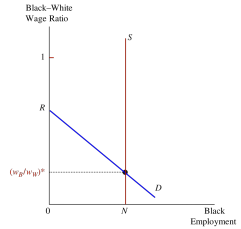


Figure 9-4: Determination of the Relative Minority Wage in the Labor Market

When Some Firms Have Negative Discrimination Coefficients

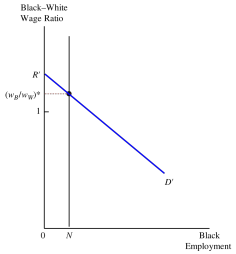


Figure 9-5: The Relative Minority Wage When Some Firms Have Negative d

Employee Discrimination

- **Employee discrimination**: white workers dislike working alongside Black workers — they require a **compensating differential** (higher wage) to do so.
- **Key result**: employee discrimination does **not** generate a wage differential between equally skilled Black and white workers.
- Employee discrimination does **not affect** the profitability of firms — the cost is borne by prejudiced workers themselves (they sort into segregated workplaces).
- The outcome is **workplace segregation**: Black and white workers end up in different firms, but at the same wage.

Customer Discrimination

- If customers discriminate, their perceived price of a good is **utility-adjusted** with a discrimination coefficient: they act as if the price is $p(1 + d_c)$ when served by a Black worker.
- When a firm **cannot hide** Black workers from customers, customer discrimination can have an **adverse effect on Black wages**.
- Customer discrimination is most relevant in **customer-facing** occupations (sales, services, professional consultations).

- Firms may respond by assigning minority workers to **back-office** roles — creating **occupational segregation** even within firms.

What Is Statistical Discrimination?

- **Statistical discrimination** occurs when employers base decisions on the **average characteristics** of the group to which a worker belongs.
- Employers use **imperfect predictors of productivity**: age, education, and experience provide some information — but not enough.
- Employers may use **race and gender as well**, since these also provide statistical information about group averages.
- **Example**: young males pay higher car insurance rates because, **on average**, they have more accidents — even though many individual young men are safe drivers.

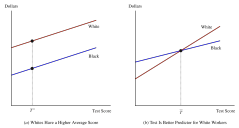
Statistical Discrimination: The Mechanism

- Gender may provide information on **job commitment** since women on average have **higher turnover rates**.
- Race may provide information about **schooling quality** since Black workers on average attended **lower-quality schools** than white workers.
- The employer is not being **malicious** — they are using all available information to minimise **hiring costs**.
- The **problem**: workers whose individual characteristics differ from the group average are **harmed** — a high-commitment woman or a well-educated Black worker is judged by the group mean, not their own traits.

Statistical Discrimination: Implications

- Employers are **not harmed** when they practise statistical discrimination — they **gain** since they minimise hiring costs.
- Statistical discrimination will **diminish** if the average characteristics of the groups **converge** over time.
- Male-female **turnover rates are converging** — this should reduce gender-based statistical discrimination.
- **Policy challenge**: banning the use of group characteristics (e.g., race or gender) in hiring forces employers to use **less informative signals** — but it protects individuals from being judged by group averages.

Impact of Statistical Discrimination on Wages



(a) Whites Have a Higher Average Score (b) Test Is Better Predictor for White Workers.

Figure 9-6: Statistical Discrimination and Wages

Non-Discrimination Factors

- Raw racial and gender differentials in earnings, occupational distribution, and unemployment must be interpreted with **caution**.
- Factors **other than discrimination** may play a role:
- **Individual choice**: women may choose occupations with greater flexibility for family responsibilities.
- **Pre-market human capital**: differences in schooling quality, field of study, and work experience.
- The challenge is separating **constrained choices** (driven by discrimination or social norms) from **free choices** (driven by genuine preferences).

How Do We Measure Discrimination?

- One possible measure is the **difference in mean wages** — but this confounds discrimination with skill differences.
- A better measure would compare the wages of **equally skilled workers** from different groups.
- The **Oaxaca decomposition** (1973): a technique that decomposes the raw wage differential into:
- A portion related to **differences in skills** (explained component).
- A portion attributable to **labour market discrimination** (unexplained component).

The Oaxaca–Blinder Decomposition

- **Raw wage gap**: $\Delta w = \bar{w}_M - \bar{w}_F$ – **"comparing apples and oranges"** (confounds skills with discrimination).
- Estimate **separate earnings functions** for each group:

$$w_M = \alpha_M + \beta_M s_M \qquad w_F = \alpha_F + \beta_F s_F$$

- No discrimination: $\alpha_M = \alpha_F$ and $\beta_M = \beta_F$ – employers value skills **equally**.
- **Decomposition** (Eq. 9-8):

$$\Delta w = \underbrace{\{(\alpha_M - \alpha_F) + (\beta_M - \beta_F)\bar{s}_F\}}_{\text{Due to discrimination}} + \underbrace{\beta_M(\bar{s}_M - \bar{s}_F)}_{\text{Due to skills}}$$

Statistical Discrimination and Wages

- The firm's wage offer is a **weighted average** of the applicant's own score T and the group average $\bar{T}$:

$$w = (1 - \alpha)\,\bar{T} + \alpha T$$

- $\alpha = 1$: test **perfectly predicts** — wage depends only on own score; $\alpha = 0$: own score **meaningless** — employer relies entirely on group average.
- α = **predictive power** of the screening test — higher α means less reliance on group membership.
- Statistical discrimination affects **both the intercept and the slope** of the wage–test-score line.

Measuring Gender Discrimination on Wages

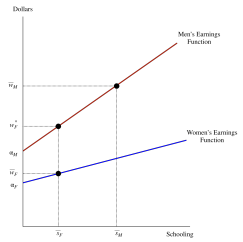


Figure 9-7: Measuring the Impact of Discrimination on the Wage

Determinants of the White–Black Wage Ratio

- There has been an **upward trend** in the wages of Black workers relative to white workers in recent decades.

- This has been attributed to increases in the **quality and quantity** of Black schooling.
- **Government programs** — civil rights legislation, affirmative action, and equal employment opportunity enforcement — have positively affected Black wages.
- However, the **convergence has stalled** since the mid-1970s, and the Black-white wage ratio has remained roughly constant for decades.

Trend in Black–White Earnings Ratio, 1967–2020

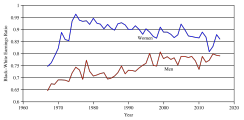


Figure 9-8: Trend in Black–White Earnings Ratio, 1967–2020

Male LFP Rates, by Race, 1955–2020

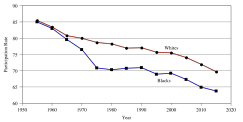


Figure 9-9: Male Labor Force Participation Rates, by Race, 1955–2020

The Decline in Black LFP and the Average Black Wage

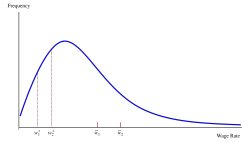


Figure 9-10: Decline in Black Labor Force Participation and the Average Black Wage

Discrimination Against Other Groups

- Differences in wages across ethnic groups can be linked to **varying educational attainment**.
- Less skilled workers earn less, consistent with **human capital theory**.
- **Asian workers** tend to earn **more** than white workers, mainly due to higher levels of schooling.
- The **Hispanic-white wage gap** has remained relatively stable, reflecting persistent differences in educational attainment and immigration patterns.

Trend in Relative Earnings of Hispanics and Asians, 1974–2020

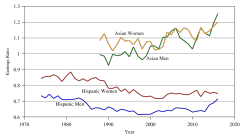


Figure 9-11: Trend in Relative Earnings of Hispanics and Asians, 1974–2020

Determinants of the Male–Female Wage Ratio

- **Occupational crowding** has segregated women into particular occupations where the return to education is **lower**.
- Human capital is more profitable the **longer the payoff period** — women who anticipated career interruptions historically invested in occupations with **lower depreciation rates**.

- Women are better off if they enter occupations in which their skills **do not deteriorate** during years spent in the household sector.
- The gender wage gap has narrowed substantially since 1980, driven by **rising female education**, **delayed fertility**, and **changing occupational choices**.

Trend in Female–Male Earnings Ratio, 1960–2020

Figure 9-12: Trend in Female–Male Earnings Ratio, 1960–2020

Review — Introduction

- Discrimination occurs when the marketplace accounts for factors (race, sex, caste) unrelated to productivity.
- Raw wage differentials between groups partly reflect skill differences and partly reflect discrimination.
- The empirical challenge is decomposing the gap into explained (skills) and unexplained (discrimination) components.

Review — Taste Discrimination (Becker)

- The **discrimination coefficient** d makes the employer perceive minority labour as costing $w_B(1+d)$ rather than w_B.
- With perfect substitutes, the Becker model predicts segregated workforces — each firm hires only one race.
- Discrimination is costly: prejudiced firms earn lower profits and should be driven out by competitive forces.
- Persistence of discrimination suggests imperfect competition or non-employer sources of prejudice.

Review — Employee, Customer & Statistical Discrimination

- **Employee discrimination** produces workplace segregation but not wage gaps.
- **Customer discrimination** creates wage gaps in customer-facing occupations; competitive forces cannot easily eliminate it.
- **Statistical discrimination** is rational but unfair: employers judge individuals by group averages when individual signals are noisy.

- Statistical discrimination diminishes as group characteristics converge.

Review — Measuring Discrimination & Policy Evidence

- The **Oaxaca decomposition** splits the raw wage gap into explained (skill differences) and unexplained (discrimination) components.
- The Black-white wage ratio rose sharply after the Civil Rights Act but has stalled since the mid-1970s.
- Declining Black male LFP biases the measured wage ratio upward (selection effect).
- The gender wage gap has narrowed from ~60% to ~82% since 1980, driven by rising female education and changing occupational choices.